Sony

Company Introduction

Sony Corporation is a Japanese conglomerate, working in consumer electronics, PlayStation consoles, entertainment holdings, etc. Sony corporation was one of the world's largest electronic/media companies in mid 2000s. the company had an unusual combo of hardware manufacturing and content ownership [1]. The company started developing Blu-ray Disc in 2000, it had blue-laser tech and 50 GB capacity while the standard DVD's had 4.7 GB (single layer).

Sony's objective was to replace DVD as HD video format, to achieve that it formed Blu-ray Disc Association with Panasonic, Philips, Samsung, Apple, Dell [1]. This time it was the matter of reputation for the company as in the previous war with JVC's VHS the Sony lost.

Problem

The biggest issue facing Sony was timing. It had to make a very difficult decision about the degree of investment required in a format that had at the start very few installed users, and at the same time had to try to engrain the studios which produce the content that's worth building up a base for. If you move too slowly, then another format might take the place of Blu-ray before it really begins to catch on, and Sony's investment would be lost. Go too far and Sony could be taking a risk with a format that could never take off.

On the practical side, Sony had to go with two very broad choices:

- either sell Blu-Ray players as a standalone, high end product, or
- force them into the mass market at lower prices and lower margins until they gained traction.

However, the decision on which format was about to respond correctly was crucial. This effectively turned it into a two-player strategic game, and the only real rival to tackle is Toshiba, who backed a rival format known as HD DVD.

Solution

To understand what Sony did, let's take it as two-player game, Sony and Toshiba as its players. Toshiba was backed by DVD Forum, NEC and Microsoft [1]. HD DVD's were cheaper to make then existing DVD lines but they store lesser in comparison (30GB vs Blu-ray 50GB).

Player1 – Sony Blu-ray,

Player2 – Toshiba HD DVD,

There was also a 3rd group which was Hollywood studios and major retailers who did not directly compete but played a major part in deciding who won, as they were the one who get to choose a side.

This was a game of incomplete information, with neither Sony or Toshiba knowing in advance how many studios, or retailers, would join their side.

Player	Strategy A	Strategy B
Sony	Bundle Blu-ray into every PlayStation 3, building a large hardware base and absorbing early losses	Sell Blu-ray players as a standalone premium product only
Toshiba	Compete on price with cheap players, deep discounting, using existing DVD plants	Match Sony's scale by subsidizing a comparable hardware platform

Payoff Matrix

Given what we know happened: Toshiba was not really positioned to win a straight price war, but it was capable of matching Sony's investment.

	Toshiba: price competition	Toshiba: match investment

Sony: bundle into PS3	Sony: High. Toshiba: Low. (What actually happened.)	Sony: Medium. Toshiba: Medium. (A costly war of attrition.)
Sony: standalone premium	Sony: Low. Toshiba: Medium. (Toshiba's cost edge wins share.)	Sony: Medium. Toshiba: Low. (Sony's content edge wins share.)

[This payoff matrix was generated using AI (Claude, Anthropic) with the following prompt: "Create an illustrative payoff matrix for Sony vs Toshiba's Blu-ray/HD DVD format war, showing High/Medium/Low outcomes based on installed base and studio backing (not actual revenue), given that Toshiba could not win a straight price war but could match Sony's investment level.]

Bundling Blu-ray in the PS3 was a no-brainer for Sony. In theory, Toshiba might have been able to match that sort of up-front investment, but it would be easier for the Sony console and studio divisions to be able to absorb the cost. By late 2006, Toshiba had no other platform to go to like to support, other than to compete on price using its current manufacturing cost advantage in DVDs, and that's what the two companies landed on.

Sony made its Blu-Ray a standard, and not an optional part of the PS3, which is what Toshiba did, as a result of which, Sony altered the incentives before Toshiba had the chance to follow suit. A two-player game is layered over this, with studios and retailers putting their money where their mouths are on whichever format seems to be on the winning streak—until the one that held a significant advantage eventually tips over.

[This analysis was drafted using AI (Claude, Anthropic) with the following prompt: " Explain why Sony's PS3-bundling strategy was the dominant/optimal choice in the Sony-Toshiba payoff matrix, covering: why Sony's console and studio businesses could absorb up-front costs better than Toshiba; why Toshiba had no comparable console platform by late 2006 and was left competing only on price; and frame the overall strategy as a signalling game based on first-mover commitment, where Sony making Blu-ray non-optional in the PS3 changed Toshiba's incentives before it could respond — plus the layered coordination game between studios and retailers with a tipping effect once one format pulled ahead."]

Implementation

Sony played a smart move by making Blu-ray a compulsion in PS3 [1], which effectively lead to tens of million Blu-ray players. The Blu-ray Disc Association was also expanded as Disney, Fox and Warner Bros joined [1].

While, Toshiba partnered with Microsoft on a $199 HD DVD add-on for Xbox 360, they did not dedicate the console a platform like Sony.

Outcome

PS3 was launched at a higher price compared to its predecessor due to added cost of Blu-ray drive which slowed its early sales. But these losses were gradually recovered as component costs fell, console prices came down, and revenue from hardware and software sales grew over time.

In 2007 it was disclosed in fiscal that Toshiba had loss of $ 1.1 billion from exiting HD DVD [2].

In mid-February, Best Buy and Walmart followed Blu-ray only announcements [3]. On 19th February 2008, Toshiba formally announced it would stop producing HD DVD players [1][3]. Therefore the Blu-ray becomes and is the standard physical HD video format [1][3].

Not only did the Toshiba stop producing the HD DVD's it also exited the category entirely, making its buyers left with orphaned format.

Conclusion

Sony's success in the HD disc format battle was as much about the installed base as the technical advantages and about Sony's ability to create a successful format than its competitors. The PS3's inclusion of Blu-ray sparked Sony's initial commitment, which Toshiba had never offered on a console platform, and Warner Bros's announcement of its Blu-ray support in January 2008 was the last straw in the process of pressuring studios and retailers into Blu-ray. The price reductions were fair enough for Toshiba on their own, but were made too late to reverse the trend, and the format war officially closed on February 19, 2008.

The big message from this lesson is a network-effect markets lesson: in a two-sided market, it's crucial to get a handful of critical coalition partners in the door and tie them down early and credibly, rather than offer a feature-for-feature or

price-for-price match to a competitor. Sony didn't necessarily have the cheaper product; it had the more convincing commitment, and in a market that rewards coordination, that turned out to be the deciding factor.

[This section was drafted using AI (Claude, Anthropic) with the following prompt: " Write a conclusion for a case note of Sony's Blu-ray vs Toshiba's HD DVD format war, summarising that installed base and studio support, not technical superiority, won the day, and that the lesson to be learnt is to lock in coalition partners early in two-sided markets, the end of Sony's bundling of PS3 games being its first-mover commitment, and Warner Bros.'s January 2008 switch being the pivotal moment."]

References

[1] Wikipedia, "High-definition optical disc format war"

[2] Variety, "HD DVD Flop Costs Toshiba $1.1 Bil" (March 2008), variety.com

[3] CNBC (via NHK), "Toshiba to Give Up HD DVD, Give in to Sony: Source" (February 2008)